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ROMANIA

The Danube runs dry: Romania's latest macro stress test

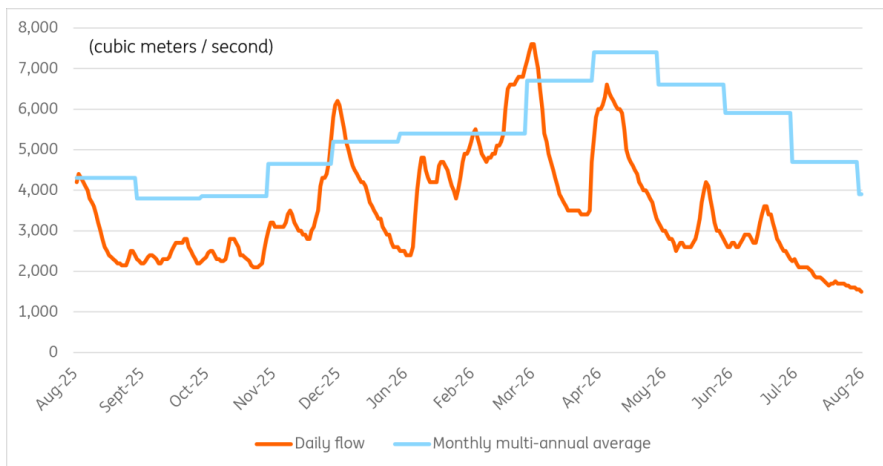
Record-low water levels on the [Rhine](#) show that climate risks are no longer exceptional shocks to otherwise predictable supply chains. As [Germany's](#) experience shows, major waterways are more than just transport routes; they are enablers of industrial activity. On the Danube, Romania faces a test of its power system, industry and trade infrastructure



The Danube in Romania, with extensive exposed sandbanks

At Baziaş, where the Danube enters Romania, river flow fell to 1600 cubic metres per second on 31 July, compared with a normal July average of 4700 cubic metres. It has since dropped further to 1500 cubic metres. Shipping has been partially disrupted, irrigation restricted and several ferry services suspended. The authorities have also had to manage reservoir levels to preserve cooling water for the Cernavodă nuclear power station.

Danube water flows: mind the gap



Source: National Institute of Hydrology, ING

In isolation, low river levels would probably be a manageable sectoral shock. What gives the current episode macroeconomic significance is its timing. Romania entered the second half of 2026 with the economy stagnant at best, industrial production in prolonged decline and inflation still high. We expect GDP to contract by 0.5% this year, after growth of only 0.7% in 2025. With such weak numbers, there is almost no cyclical cushion to absorb another supply shock.

An energy emergency with a long history

The most immediate pressure has come through electricity. Cernavodă normally supplies roughly one-fifth of Romania's power. As Danube levels fell below the thresholds needed for cooling operations, one of the plant's two reactors was disconnected from the grid. The government subsequently declared a nationwide state of emergency for August and allocated funding for temporary works to redirect water towards the remaining operating reactor. On 3 August, the Romanian military used controlled explosions to remove a rock formation obstructing the necessary works.

That is an extraordinary response, but it should not be mistaken for an energy strategy. Blasting rock out of a riverbed may keep a reactor operating for a few more days, but it does not create new generation capacity, reinforce cross-border interconnections or accelerate storage deployment. The government has acknowledged that limited interconnection capacity with Central and Western Europe reduces Romania's ability to cover the shortfall through imports.

The drought exposes a more uncomfortable truth. Romania's current emergency measures are addressing not only an extreme summer, but also decades in which essential energy investments were delayed, redesigned or left at the planning stage. The country has a

comparatively balanced generation mix, combining hydro, nuclear, fossil fuels, wind and solar. Yet diversity of technologies does not always mean diversity of risks. Nuclear cooling, hydroelectric production, river transport and parts of agriculture all depend on the same increasingly unreliable water system.

Meanwhile, the energy transition has progressed unevenly. Solar capacity, including that of prosumers, has increased rapidly, but flexible generation, storage and stronger interconnections have not expanded at the same pace. Plans for new nuclear units, reactor refurbishment, gas generation and grid upgrades have existed for years. The present crisis is therefore part climate shock and part implementation deficit. Today's improvised engineering works are, in effect, compensating for yesterday's missed investment decisions.

For the macro outlook, the key transmission channel is not necessarily a prolonged physical shortage of electricity. It is the price and confidence effect. When stable nuclear supply falls just as heat pushes demand higher, Romania must rely more heavily on imports and higher-cost domestic generation. That adds pressure to margins and threatens another round of electricity cost pass-through. It comes at a time when inflation has remained around 10.0% for the last four quarters, and energy-price liberalisation is already part of the inflation story. Our current forecast sees inflation ending 2026 at around 6.0%, but a persistent power shock would make that path less certain.

Industry did not need another shock

The energy squeeze is hitting an already weak industrial sector as well. Industrial production fell by 3.1% year-on-year in January–May 2026, while manufacturing declined by 4.3%. This is more than a temporary cyclical downturn. Romanian industry has struggled since before the pandemic, reflecting weak Western European demand, financing and energy costs, ageing capital stock and persistent competitiveness constraints.

The decision by Dacia and Ford automakers to pause production until 19 August reduces electricity demand by around 200MW, according to the prime minister. The distinction between emergency curtailment and normal scheduling is important: Ford said that its summer holiday stoppage had been planned in advance. Nevertheless, the fact that the authorities are relying on large manufacturers to help balance the system illustrates the limited short-term alternatives available.

The direct GDP hit from several weeks of lower automotive output should not be overstated. Some lost production may be recovered later, and the summer period is normally affected by maintenance and holidays. But the broader signal is that energy-intensive manufacturers are being asked to act as the power system's informal shock absorber at a time when industrial margins and investment appetite are already under pressure.

This reinforces a split currently visible in Romania's economy. Manufacturing is contracting,

while construction is growing strongly on the back of infrastructure works and EU-funded investment. Construction output rose by 11.3% year-on-year in the first five months of 2026, helping to prevent a deeper downturn. That support is valuable, but it cannot indefinitely substitute for a competitive tradable sector. Romania needs roads, railways and energy infrastructure to lift industrial potential, not merely to keep headline GDP afloat.

The Danube loses some of its cost advantage

Low water reduces the navigable depth of the Danube, forcing vessels to carry lighter loads, wait for improved conditions or transfer cargo to road and rail. On parts of the Bulgarian-Romanian stretch, cargo vessels have reportedly been operating at around half capacity because of draft restrictions, while low-water surcharges have been introduced. In Romania, idle grain barges and suspended ferry services have already been reported.

This matters because the Danube is more than a national waterway. Together with Constanța and the Danube-Black Sea Canal, it forms part of a strategic corridor connecting Central Europe, the Black Sea, Ukraine and Moldova. The corridor has become more important since the war in Ukraine started, particularly for agricultural exports and regional supply-chain resilience. When barge capacity falls, the consequences include higher transport costs, congestion on alternative routes and reduced reliability precisely when companies are being encouraged to diversify logistics networks.

Romania still has a strong strategic position. Schengen membership, motorway development, the port of Constanța and the final push to complete EU-funded transport projects could strengthen the country's role as a regional logistics and production platform. But low Danube levels provide a useful warning: building individual assets is not enough. Romania also needs redundancy between river, rail and road, reliable access to Black Sea capacity and infrastructure designed for a climate in which low-water episodes are likely to be more disruptive. The wider Danube basin authorities already identify longer and more frequent summer droughts, together with water scarcity affecting agriculture, energy and navigation, as a structural adaptation challenge.

The macro effect: stagflationary, but manageable

The drought alone is unlikely to change Romania's annual GDP trajectory dramatically. Its effects may also be partially reversible if river levels recover and industrial production is rescheduled. But it is nevertheless a stagflationary shock: it reduces output while raising electricity, transport and potentially food-production costs.

The economy is especially sensitive because domestic demand has already weakened sharply. GDP fell by 1.2% year-on-year in the first quarter with household consumption declining by 1.8%. Employment has also fallen from its early-2025 peak. Under normal circumstances, weaker demand would help bring inflation down, but the Danube shock complicates that

adjustment by adding supply-side price pressures.

One positive feature of the current macro mix is that EU-financed investment is providing a buffer. Investment rose by 2.2% year-on-year in the first quarter, while EU-funded public investment increased strongly during the first half. Romania is also approaching the final stage of its Recovery and Resilience Facility programme, with the fifth and sixth payment requests expected in August and September. If execution remains on track, 2026 could bring historically high EU inflows.

That makes the composition of investment more important than ever. The last-mile RRF push should not be judged only by how much money is absorbed before the deadline. Its success should also be measured by whether projects reduce the economic cost of the next drought. Energy networks, storage, interconnections, irrigation, rail links, port access and navigability are not separate policy files. They are components of the same resilience strategy.

A warning that should survive the summer

The Danube drought will not derail Romania's economy, but an economy already in stagnation has very little room for avoidable shocks. Each individual disruption may look small: a reactor offline, a temporary factory stoppage, a lighter barge or a suspended ferry. Together, they expose the same structural weakness. Romania has spent years relying on favourable geography and a diversified energy mix without investing enough in the systems that make those advantages resilient.

The emergency response can preserve supply this summer but it cannot substitute for a serious long-term energy and transport strategy. The policy test begins after the water returns: whether Romania treats the episode as an exceptional natural event, or as a warning that climate adaptation, energy security and industrial competitiveness have become the same macroeconomic issue.

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